Book	Policy Manual
Section	BOARD POLICIES UNDER CONSIDERATION
Title	Copy of INVESTMENTS
Code	po6144
Status	Second Reading
Adopted	July 23, 2007

6144 - **INVESTMENTS**

~~It is the policy of the Board of Education to invest public funds in a manner which will provide the highest investment return with the maximum security, safety and preservation of principal while meeting the daily cash flow demands of the School District and conforming to all applicable statutes governing the investment of public funds by an Ohio school district. The Treasurer/CFO is the investment officer of the School District, charged with the responsibility for the purchase and sale of investments and the carrying out of this Investment Policy.~~

~~*Scope*~~

~~This Investment Policy applies to all financial assets of the School District, including State and Federal funds held by it. The Treasurer/CFO shall routinely monitor the contents of the School District's investment portfolio, the available markets and relative value of competing investments and will adjust the portfolio accordingly.~~

~~*Prudence*~~

~~Investments shall be made with judgment and care – under circumstances then prevailing – which persons of prudence, discretion and intelligence exercise in the management of their own affairs, not for speculation, but for investment, considering the probable safety of their capital as well as the probable income to be derived.~~

~~The standard of prudence to be used by the Treasurer/CFO shall be the "prudent person" Standard and shall be applied in the context of managing the overall portfolio. Acting in accordance with this Investment Policy and exercising due diligence shall relieve the Treasurer/CFO of personal responsibility for an individual's security credit risk or market price changes, provided deviations from expectations are reported to the Board in a timely fashion and appropriate action is taken to control adverse development.~~

~~*Objectives*~~

~~The primary objectives, in priority order, of the School District investment activities shall be:~~

A. ~~**Safety**: Safety of principal is the foremost objective of the investment program. Investments of the School District shall be undertaken in a manner that seeks to ensure the preservation of capital in the overall portfolio. To attain this objective, diversification is required in order that potential losses on individual securities do not exceed the income generated from the remainder of the portfolio.~~

B. ~~**Liquidity**: The School District's investment portfolio will remain sufficiently liquid to enable it to meet all operating requirements that might be reasonably anticipated.~~

C. ~~**Return on Investment**: The School District's investment portfolio shall be designed with the objective of attaining a market rate of return throughout budgetary and economic cycles, taking into account this Investment Policy and the cash flow characteristics of the portfolio.~~

~~*Ethics and Conflict of Interest*~~

~~Persons involved in the investment process shall refrain from personal business activity that could conflict with proper execution of the investment program, or which could impair their ability to make impartial investment decisions. Employees and investment consultants shall disclose to the Board any material financial interests in financial institutions that conduct business within the School District and any large personal financial or investment portfolio.~~

~~*Authorized Financial Dealers and Institutions*~~

~~The Treasurer/CFO will maintain a list of financial institutions and approved security broker/dealers who are authorized to provide investment services and which qualify under Section 135.14(M)(1) of the Revised Code. These may include "primary" dealers or regional dealers who qualify under Securities & Exchange Commission Rule 15C3-1 and are registered with the Ohio Department of Commerce to do business in the State.~~

~~All financial institutions and broker/dealers who desire to become qualified suppliers of investment transactions to the School District must provide the Treasurer/CFO with audited annual financial statements. All financial institutions, broker/dealers and consultants who desire to conduct investment business with the School District must sign this Investment Policy, certifying they have read it, understand it and agree to abide by its contents.~~

~~*Authorized Investments*~~

~~The School District is empowered by statute to invest in the following types of securities:~~

A. ~~United States Treasury bills, notes, bonds or any other obligation or security issued by the United States Treasury or any other obligation guaranteed as to principal and interest by the United States;~~

B. ~~Bonds, notes, debentures, or other obligations or securities issued by any Federal government agency or instrumentality, including but not limited to the Federal National Mortgage Association, Federal Home Loan Bank, Federal Farm Credit Bank, Federal Home Loan Mortgage Association, Government National Mortgage Association and Student Loan Marketing Association. All such securities shall be direct issuances of Federal government agencies or instrumentalities;~~

C. ~~Interim deposits in duly authorized depositories of the School District, provided those deposits are properly insured or collateralized as required by law;~~

D. ~~Bonds and other obligations of the State of Ohio, or the political subdivisions of this state, provided that, with respect to bonds or other obligations of political subdivisions, all of the following apply:~~

    1. ~~The bonds or other obligations are payable from general revenues of the political subdivision and backed by the full faith and credit of the political subdivision.~~

    2. ~~The bonds or other obligations are rated at the time of purchase in the three highest classifications established by at least one nationally recognized standard rating service and purchased through a registered securities broker or dealer.~~

    3. ~~The aggregate value of the bonds or other obligations does not exceed twenty percent (20%) of interim moneys available for investment at the time of purchase.~~

    4. ~~The Treasurer or governing board is not the sole purchaser of the bonds or other obligations at original issuance.~~

    ~~No investment shall be made under division (B)(4) of this section unless the treasurer or governing board has completed additional training for making the investments authorized by division (B)(4) of this section. The type and amount of additional training shall be approved by the treasurer of state and may be conducted by or provided under the supervision of the treasurer of state.~~

E. ~~No-load money market mutual funds consisting exclusively of securities described in paragraphs A and B of this Section and repurchase agreements secured by such obligations, provided all such investments under this paragraph E shall be made with a bank or savings and loan association eligible to be a depository for public funds of Ohio subdivisions and provided further that any such fund meets the requirements of Chapter 135 of the revised code, including that such fund not include any investment in a "derivative."~~

F. ~~STAROhio;~~

G. ~~Overnight or term (not exceeding thirty (30) days) repurchase agreements meeting the requirements of Section 133.14(C) of the revised code, with a bank or savings and loan association eligible to be a depository for public funds of Ohio subdivisions or a member of the National Association of Securities Dealers; and~~

H. ~~Bankers acceptances and commercial paper notes, up to a maximum of forty percent (40%) with a maturity not exceeding 270 days for commercial paper and 180 days for bankers acceptances, and meeting all of the requirements of Section 135.142 of the revised code, but only upon specific authorization of the Board required by law and completion of the required training by the Treasurer/CFO.~~

~~*Diversification*~~

~~The School District will diversify its holdings of investments by avoiding concentrations of specific issuers and maturities.~~

~~*Maximum Maturities*~~

~~To the extent possible, the School District will attempt to match its investments with anticipated cash flow requirements. No investment shall be made unless the Treasurer/CFO, at the time of making the investment, reasonably expects it can be held to its maturity.~~

~~Unless matched to a specific obligation or debt of the School District, the School District will not directly invest in securities listed as A through E above maturing more than five (5) years from the date of settlement.~~

~~*Safekeeping and Custody*~~

~~Securities will be held by a third party custodian designated by the Treasurer/CFO and evidenced by safekeeping receipts. Securities shall be pledged at the Federal Reserve Bank to collateralize all repurchase agreements with financial institutions. Pledge collateral will be released by the School District only after verification that the principal and interest have been credited to the School District's account.~~

~~*Prohibited Investment Practices*~~

~~The School District shall not:~~

A. ~~Contract to sell securities that have not yet been acquired on the speculation that prices will decline;~~

B. ~~Make any investment in derivatives;~~

C. ~~Invest in stripped principal or interest obligations of otherwise eligible instruments;~~

D. ~~Invest in a fund established by another public body for the purpose of investing public money of other subdivisions (other than STAROhio); or~~

E. ~~Leverage current investments as collateral to purchase other assets.~~

~~*Internal Controls*~~

~~The Treasurer/CFO shall develop and maintain procedures for the operation of the School District's investment program in accordance with this Investment Policy. These procedures shall be designed to prevent loss of the School District's funds due to fraud, error, misrepresentation, unanticipated market changes or imprudent action.~~

~~*Non-Binding Arbitration*~~

~~The Treasurer/CFO may enter into a written investment or deposit agreement that includes a provision under which the parties agree to submit to non-binding arbitration (but not binding arbitration) to settle any controversy that may arise out of that agreement so long as such provision meets the requirements of the Revised Code and is specifically approved by the Board.~~

~~*Investment Advisors*~~

~~In making investments authorized by Section 135.14 of the Revised Code, the Treasurer/CFO may retain the services of an investment advisor, provided the advisor is licensed by the Division of Securities under Section 1707.141 of the Revised Code, or is registered with the Securities and Exchange Commission, or is an eligible institution.~~

~~*Reporting*~~

~~The Treasurer/CFO shall maintain a current inventory of all investments including:~~

A. ~~Description of each security;~~

B. ~~Cost;~~

C. ~~Par value;~~

D. ~~Dates (beginning, settlement and maturity); and~~

E. ~~Rates.~~

~~The Treasurer/CFO shall also prepare and distribute monthly (or more frequently if requested by the Board) a report of all investments.~~

~~*Investment Policy Adoption*~~

~~This Investment Policy shall be adopted by the Board of Education and upon adoption, filed in the Office of the Auditor of State. The policy shall be reviewed on a periodic basis by the Board or a committee designated by it and any modifications made thereto must be approved by the Board and, upon adoption, filed in the Office of the Auditor of State. After adoption, a copy of this policy must be forwarded to each broker or dealer doing business with the Brecksville-Broadview Heights Board of Education. Their signature will be required indicating they have received, read, understand and will abide by its contents when recommending or selling investments to the District.~~

~~CERTIFICATION OF READING, UNDERSTANDING AND ACCEPTANCE~~

~~The undersigned, ____, hereby certifies that it has read, understands, and will accept and abide by this Investment Policy and the relevant provisions of the Revised Code in its dealings with the Brecksville - Broadview Heights City School District, that binding arbitration provisions are not permitted and any non-binding arbitration provisions must be expressly approved by the Board, and that officer executing this Certification is authorized to do so on behalf of the undersigned.~~

~~____~~

~~By: ____~~

~~Title: ____~~

~~Date: ________________________, 201___.~~

The Board of Education authorizes the Treasurer to make investments of available monies from the funds of the District in securities authorized by State law. These shall include:

A. bonds, notes, or other obligations of or guaranteed by the United States, or those for which the faith of the United States is pledged for payment of principal and interest thereon but does not include stripped principal or interest obligations of such obligations;

B. bonds, notes, debentures, or any other obligations or securities directly issued by a Federal government agency or instrumentality;

C. interim deposits in Board-approved depositories;

D. bonds and other obligations of the State, or the political subdivisions of this state, provided that, with respect to bonds or other obligations of political subdivisions, all of the following apply the:

    1. bonds or other obligations are payable from the political subdivision's general revenues and backed by the full faith and credit of the political subdivision,

    2. bonds or other obligations are rated, at the time of purchase, in the three (3) highest classifications established by at least one (1) nationally recognized standard rating service and purchased through a registered securities broker or dealer,

3. aggregate value of the bonds or other obligations does not exceed twenty percent (20%) of interim monies available for investment at the time of purchase,
4. Treasurer is not the sole purchaser of the bonds or other obligations at original issuance, and
5. the bonds or other obligations mature within ten (10) years from the date of settlement;

E. no-load money market mutual funds consisting exclusively of obligations described in A. and B. above or repurchase agreements secured by such obligations, provided such investments are made only through eligible institutions authorized by R.C. 135.03;

F. the Ohio Subdivision Fund (STAR Ohio).

Under no circumstances may the Treasurer invest in a derivative as defined by the Revised Code, reverse repurchase agreements, or other funds prohibited by law. The Treasurer shall also not make investments which s/he does not reasonably believe can be held until the maturity date or leverage any investment.

No investment shall be made under division (D), as described above, unless the Treasurer has completed additional training that has been approved by the Treasurer of State and is either conducted by or provided under the supervision of the Treasurer of State.

The Treasurer is also authorized to enter into written repurchase agreements with any eligible institution in accordance with R.C. 135.03 provided that under the terms of the agreement the eligible institution agrees unconditionally to repurchase any of the securities listed in divisions (A) through (E), above. Such agreements may be either overnight or within a time not to exceed thirty (30) days and must comply with the requirements of R.C. 135.14(E).

Upon a two-thirds (2/3's) vote of its members, the Board may authorize the Treasurer to invest up to a maximum of forty percent (40%) of the District's interim funds in either of the following:

A. Commercial paper notes issued by a for-profit corporation, business trust or association, real estate investment trust, common-law trust, unincorporated business, or general or limited partnership which has assets exceeding $500,000,000. Such notes must:

   1. be rated at the time of purchase in the highest classification established by at least two (2) nationally recognized standard rating servicers;
   2. have an aggregate value that does not exceed ten percent (10%) of the outstanding commercial paper of the issuing entity;
   3. mature not later than 270 days after purchase; and
   4. be limited to the aggregate of five percent (5%) of interim monies available for investment at the time of purchase, when issued by a single issuer.

   No investment shall be made under this provision unless the Treasurer has completed additional training that has been approved by the Treasurer of State and is either conducted by or provided under the supervision of the Treasurer of State.

B. Bankers acceptances of banks that are insured by the Federal Deposit Insurance Corporation ("FDIC") and that matures no later than 180 days after purchase.

Except as provided in Section D above or as otherwise provided by law, investments made by the Treasurer must mature within five (5) years from the date of settlement, unless they are matched to a specific obligation or debt of the District.

The Treasurer shall prepare annually and submit to the Board, the Superintendent of Public Instruction, and the Auditor of State, on or before August 31st, a report listing each investment made pursuant to (A) and (B) above, during the preceding fiscal year, income earned from such investments, fees and commissions paid in connection with the investments, and any other information required by the Board, Superintendent, and the Auditor of State.

[X] The purpose of the investments is to maximize the returns on the District's excess cash balances consistent with safety of those monies and with the desired liquidity of the investments.

[X] In making investments authorized by R.C. 135.14, the Treasurer may retain the services of an investment advisor, provided the advisor is licensed by the Division of Securities under R.C. 1707.141, or is registered with the Securities and Exchange Commission and possesses experience in public funds investment management, specifically in the area of State and local government investment portfolios, or the advisor is an eligible institution in accordance with R.C. 135.03.

Whenever the Treasurer classifies public money as interim funds, the Treasurer must notify the Board within thirty (30) days. If the Board does not agree with the Treasurer's classification or investment(s), the Board may order the Treasurer to sell or liquidate any investment(s) or deposits. The Board's order will specifically describe the investment(s) or deposit(s) and fix the date upon which they are to be sold or liquidated for cash at the current market price. Neither the Treasurer nor the members of the Board will be held accountable for any loss occasioned by sales or liquidations of investment(s) or deposit(s) at prices lower than their cost. Any loss or expense incurred in making such sales or liquidation is payable as other expenses of the Treasurer's office.

Unless the District's annual portfolio of investments is $100,000 or less, the Treasurer must place on file with the Auditor of State a written investment policy that has been approved by the Board of Education and signed by all entities conducting investment business with the Board. Earnings on an investment may become a part of the fund from which the investment was made, unless otherwise specified by law.

The Treasurer, acting in accord with the law, may withdraw funds from approved public depositories or sell negotiable instruments prior to maturity.

Provided the Board has no outstanding obligation(s) with respect to a loan received under the authority of R.C. 3313.483, the Treasurer of State and the Board issuing obligations under R.C. Chapter 133 that mature within one (1) year from the original date of issuance may enter into an agreement providing for:

A. the purchase of those obligations by the Treasurer of State on terms and subject to conditions set forth in the agreement;

B. the payment by the Board to the Treasurer of State of a reasonable fee as consideration for the agreement of the Treasurer of State to purchase those obligations.

Legal R.C. 133.23, 135.01-.21, 135.22, 45, 135.142, 3317.06, 3315.01, 3315.40, 5705.10